



ROYAL LONDON SUSTAINABLE GROWTH FUND

30.11.23

FUND OVERVIEW

Fund Manager(s)	Sebastien Beguelin, George Crowdy, Mike Fox
Fund Size	£111.49m
Domicile	United Kingdom
ISA	Eligible
Investment Association Sector	IA Mixed Investment 40-85% Shares
Currency	GBP
Initial Charge	0.0%
Fund Management Fee (FMF):	M Acc: 0.77% Z Acc: 0.62%

Share Class M GBP (Acc)

Unit Launch Date	24.05.22
Minimum Investment	£100,000
SEDOL	BMV9236
Mid Price	108.90p
Historic Yield	1.33%

Share Class Z GBP (Acc)

Unit Launch Date	24.05.22
Minimum Investment	£3,000,000
SEDOL	BMV9247
Mid Price	109.10p
Historic Yield	1.43%

Overview

The Fund's investment objective is to achieve capital growth over the medium term, which should be considered as a period of 3-5 years, by investing in a diverse range of equity and fixed income assets. Investments in the Fund will adhere to the Investment Manager's ethical and sustainable investment policy. The Fund is actively managed, meaning that the Investment Manager will use their expertise to select investments to meet the objective. The IA Mixed Investments 40-85% Shares sector is considered an appropriate benchmark for performance comparison.

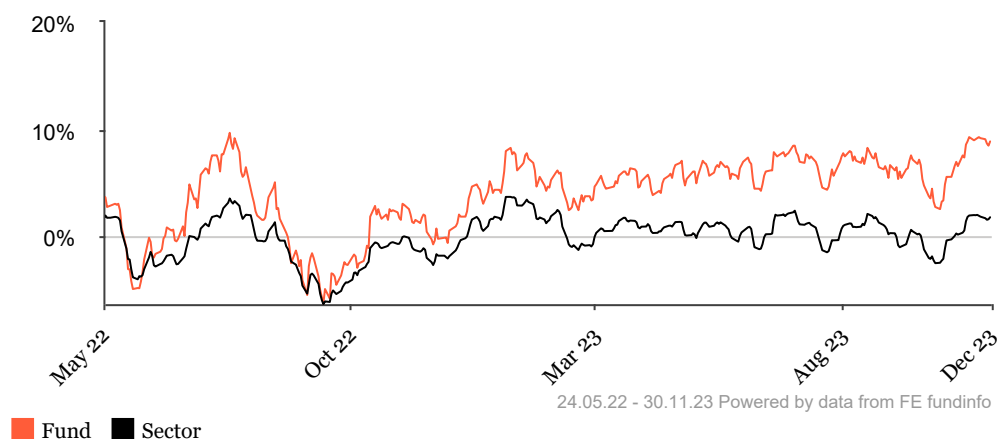
Year-on-year performance

	30.09.22 to 30.09.23	30.09.21 to 30.09.22	30.09.20 to 30.09.21	30.09.19 to 30.09.20	30.09.18 to 30.09.19
Share Class M GBP (Acc)	11.1%	-	-	-	-
Share Class Z GBP (Acc)	11.2%	-	-	-	-

Cumulative Performance (as at 30.11.23)

	3 Months	6 Months	1 Year	3 Years	5 Years
Share Class M GBP (Acc)	1.0%	2.6%	7.2%	-	-
Share Class Z GBP (Acc)	1.1%	2.7%	7.3%	-	-
IA Sector Average	0.8%	1.6%	2.2%	6.0%	21.3%
Quartile Ranking	2	1	1	-	-

Performance Chart



Past performance is not a guide to future performance. The value of investments and the income from them is not guaranteed and may go down as well as up and investors may not get back the amount originally invested.

Source: RLAM and FE fundinfo as at 30.11.23. Fund performance is shown on a mid to mid price basis, net of fees and gross of taxes, with gross income reinvested unless otherwise stated. Benchmark performance is shown gross of fees and taxes.



REALOBJECTS PDFReactor®

Evaluation Version

This PDF document was created by an evaluation version of RealObjects PDFReactor 11.6.5 (14980). The evaluation version is fully functional, but includes this information page. It must not be used for production purposes. The information page and all other evaluation notices must not be removed from the PDF file.

NOTE: Conversions in evaluation mode might be slower and the results might have a larger file size than in production mode.

Buy PDFReactor

To buy a PDFReactor license follow this link:

[Buy PDFReactor online](#)

About PDFReactor

RealObjects PDFReactor is a powerful formatting processor for converting HTML and XML documents into PDF. It uses Cascading Style Sheets (CSS) to define page layout and styles. The server-side tool enables a great variety of applications in the fields of ERP, eCommerce and Electronic Publishing.

PDFReactor supports HTML5, CSS3 and JavaScript.

It allows you to dynamically generate PDF documents such as invoices, delivery notes and shipping documents on-the-fly. PDFReactor allows you to easily add server-based PDF generation functionality to your application or service. Since PDFReactor runs on a server, the end-user in general does not need any software other than a PDF viewer.

For more information visit www.pdfreactor.com

Fund Managers(s)**Sebastien Beguelin**

Co-manager
Fund Manager tenure:
24.05.22

-
-

**George Crowdy**

Co-manager
Fund Manager tenure:
24.05.22

-
-

**Mike Fox**

Co-manager
Fund Manager tenure:
24.05.22



-

Yield Definitions

The historic yield reflects distributions declared over the past twelve months as a percentage of the mid-market price, as at the date shown. It does not include any preliminary charge and investors may be subject to tax on their distributions. Reported yields reflect RLAM's current perception of market conventions around timing of bond cash flows.

Unrated Bonds**Fund Commentary**

October was a weak month for both equity and fixed interest markets as the events in the Middle East ratcheted up geopolitical risk. US economic data also continued to remain stronger than anticipated resulting in fears that inflation will take longer to cool. In the UK the FTSE All-Share fell by 4.1% while the MSCI World fell by 2.3% in GBP terms, with Utilities and Information Technology the best performing sectors and Consumer Discretionary and Industrials the worst. Overall, while the market backdrop remains difficult the fact that markets have broadly held up this year is encouraging. There is growing evidence that inflationary forces are softening in the US and Europe and hope that military conflicts in Ukraine or the Middle East will not escalate. Economic growth also remains reasonable, particularly in the US. We continue to seek those companies with resilient business models, balance sheet strength and management teams that can guide through uncertain times.

The Sterling credit market recorded a small decline in October, falling by 0.08% and taking year to date returns to 1.08%. This was driven by a small 4bp widening in credit spread, ending the month at 1.35% above government bonds, a little higher than the tightest spreads of 1.29% in August. This widening in spreads was partially offset a small decline in government bond yields, with ten-year gilt yields falling from 4.6% to 4.5% over the period.

The Trust underperformed in October and was ranked in the fourth quartile relative to its peer group. The Trust's top contributors to performance in the month were more defensive names, including global software giant Microsoft and Novo Nordisk, a pharmaceutical company. AIA, the Hong Kong listed insurer, was also strong. Detractors to performance were led by companies which reported weak financial results or downgraded their near-term earnings expectations, including pest control operator Rentokil and Asia-focused banking group Standard Chartered.

The Trust added to its positions in Linde, a global industrial gases specialist, along with Asia-focused banking group Standard Chartered, and agricultural equipment manufacturer Agco. We also topped up our position in online search leader Alphabet, which had fallen following recent results. Notable sales included further reducing exposure to German sportswear giant Adidas, along with slightly trimming our position in obesity and diabetes specialist Novo Nordisk.

ESG Terms and Definitions

ESG Integration: The systematic and explicit inclusion of environmental, social and governance (ESG) factors into investment analysis and investment decisions.

Promotes Environmental or Social

Factors: : An ESG Fund promotes, among other characteristics, environmental or social characteristics, or a combination of those characteristics, provided that the companies in which the investments are made follow good governance practices.

Sustainable Fund Objective: A product that has sustainable investment or a reduction in carbon emissions as its objective.

Exclusions: Explicitly prohibits investing in a particular company, sector, business activity, country or region.

ESG Metrics Explanation

Carbon Footprint: Exposure to high emitters in the portfolio, expressed in tCO₂e/\$M invested. Financed emissions (explained above) are divided by the portfolio value, the same approach for listed companies and private issuers is applied in this metric.

Financed Emissions: The emissions from activities in the real economy that are financed through lending and investment portfolios, expressed in tCO₂e. Emissions are attributed to a portfolio based on the portion of the company's value the portfolio holds, and using different accounting values for public and private corporates. We provide financed emissions for scope 1 and 2 emissions.

Weighted Average Carbon Intensity:

Portfolio's exposure to carbon-intensive companies, expressed in tCO₂e / \$M revenue. Scope 1 and scope 2 GHG emissions are divided by companies revenues, then multiplied based on portfolio weights (the current value of the investment relative to the current portfolio value). The WACI is calculated as a weighted average sum of the holdings with carbon intensity coverage.

ESG Characteristics Rationale

The Fund focuses on the sustainability of the products and services of the companies it invests in, as well as their standards of environmental, social, governance ("ESG") management, alongside financial analysis. The investment approach is fundamentally based on positive screening; identifying companies that are making a positive contribution towards a cleaner, healthier, safer and more inclusive society, through assessing both what a company does and how it does it, and through active engagement to encourage continual improvement. The fund will not invest in companies that undertake business activities deemed to be detrimental to society and that breach our Do No Significant Harm principle. Further details of the Funds Sustainable Investment process can be found in the ethical and sustainable investment policy at www.rlam.com

ESG Characteristics

	Yes	No
ESG Integration	✓	
Promotes Environmental or Social Characteristics	✓	
Sustainable Fund Objective	✓	
Additional Exclusions*	✓	

*RLAM has a controversial weapons exclusion across all investments

Our Fund Restrictions

 Adult Entertainment	✓	 High Environmental Impact	✓
 Alcohol	✓	 Human Rights Issues	✓
 Animal Welfare	✓	 Nuclear Power	✓
 Armaments	✓	 Nuclear Weapons	✓
 Controversial Weapons	✓	 Tobacco	✓
 Fossil Fuels	✓		
 Gambling	✓		

Details of avoidance and/or exclusion criteria: <https://www.rlam.com/globalassets/media/literature/policies/rlam-ethical-and-sustainable-investment-policy.pdf>

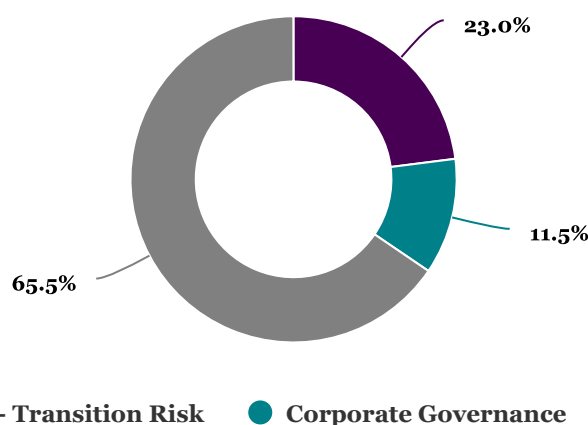
ESG Metrics*

	Portfolio	Benchmark	Difference
Carbon Footprint	9.9	0.0	0.0%
Carbon Footprint Coverage	84.0%	0.0%	-
Financed Emissions	1,300.11	0.00	0.0%
Financed Emissions Coverage	84.0%	0.0%	-
Weighted Average Carbon Intensity	50.5	0.0	0.0%
Weighted Average Carbon Intensity Coverage	95.3%	0.0%	-

*data as at 30/06/2023

Fund Stewardship Activity*

Engagement Topics



*Data as at 31st December 2022 for the calendar year 2022. Data includes activity led by the Investment Manager and Responsible Investment teams.

CONTACT DETAILS

Private Investors

For enquiries and dealing: Tel: 03456 04 04 04*

Intermediaries

For enquiries: Tel: 0203 272 5950*

Email: BDSupport@rlam.co.uk

Institutional Investors

For enquiries: Tel: 020 7506 6500*

Email: Institutional@rlam.co.uk

Head Office

Royal London Asset Management Limited

80 Fenchurch Street

London, EC3M 4BY

Tel: 020 7506 6500*

Telephone calls may be recorded. For further

information please see the privacy policy at

<http://www.rlam.com>.

Key Concepts to Understand

Bonds: are defined as fixed-income investments issued as debt by companies and public bodies to raise finance. Investors in bonds receive a previously agreed, non-variable interest payment until the investment matures. Corporate bonds are those issued by companies to raise finance.

Capital Growth: The rise in an investment's value over time.

Derivative: A financial instrument whose price is dependent upon or derived from one or more underlying asset.

Equities: Securities that represent an ownership interest in a company.

Environmental, social and governance: A list of predefined criteria that determines how a company operates in terms of sustainability and overall corporate governance.

Efficient Portfolio Management (EPM) Techniques The Fund may engage in EPM techniques including holdings of derivative instruments. The use of these instruments may expose the Fund to volatile investment returns and increase the volatility of the net asset value of the Fund. EPM techniques may involve the Fund entering into transactions with counterparties where there may be a risk of counterparty default. The Fund's ability to use EPM strategies may be limited by market conditions, regulatory limits and tax considerations.

Fund Risks

Investment Risk: The value of investments and any income from them may go down as well as up and is not guaranteed. Investors may not get back the amount invested.

Counterparty Risk: The insolvency of any institutions providing services such as safekeeping of assets or acting as counterparty to derivatives or other instruments, may expose the Fund to financial loss.

Emerging Markets Risk: Investing in Emerging Markets may provide the potential for greater rewards but carries greater risk due to the possibility of high volatility, low liquidity, currency fluctuations, the adverse effect of social, political and economic instability, weak supervisory structures and accounting standards.

EPM Techniques: The Fund may engage in EPM techniques including holdings of derivative instruments. Whilst intended to reduce risk, the use of these instruments may expose the Fund to increased price volatility.

Exchange Rate Risk: Investing in assets denominated in a currency other than the base currency of the Fund means the value of the investment can be affected by changes in exchange rates.

Liquidity Risk: In difficult market conditions the value of certain fund investments may be difficult to value and harder to sell, or sell at a fair price, resulting in unpredictable falls in the value of your holding.

Responsible Investment Style Risk The Fund can only invest in holdings that demonstrate compliance with certain sustainable indicators or ESG characteristics. This reduces the number of securities in which the Fund can invest and there may as a result be occasions where it forgoes more strongly performing investment opportunities, potentially underperforming non-sustainable funds.